FINAL DAY 30 — TDS PRACTICAL TRAINING

Workbook review • TDS rate master • Calculation examples • Compliance workflow

Training objective

Understand TDS on common payments and prepare an Excel working file. The uploaded workbook contains two sheets: “TDS Section” and “TDS Calculation”. This report records the supplied workbook figures and explains the practical checks needed before real-world use.

1. Workbook sheet: TDS Section

Payment type	Old section reference (for recognition)	Rate entered in workbook
Salary	192	Normal slab rate
Contractor — Individual/HUF	194C	1%
Contractor — Others	194C	2%
Professional fees	194J	10%
Technical services	194J	2%
Building/land rent	194-I	10%
Plant/machinery rent	194-I	2%
Commission/brokerage	194H	2%
Interest	194A	10%
Dividend	194	10%
Purchase of goods	194Q	0.1%
Benefits/perquisites	194R	10%
Lottery/gambling winnings	194B	30%
Online gaming winnings	194BA	30%
Partner payment	194T	10%

Thresholds entered in workbook

Payment type	Threshold shown
Contractor — single payment	■30,000
Contractor — annual total	■1,00,000
Professional/technical fees	■50,000
Land/building/furniture rent	■50,000
Plant/machinery rent	■50,000
Commission/brokerage	■20,000
Purchase of goods	■50,00,000
Property purchase	■50,00,000
Business benefits/perquisites	■20,000
Partner payments	■20,000

2. Workbook sheet: TDS Calculation — values checked

Calculation	Gross / base	Rate	TDS	Net payment
Contractor bill	■80,000	1%	■800	■79,200

Calculation	Gross / base	Rate	TDS	Net payment
Professional fees	■1,20,000	10%	■12,000	■1,08,000
Building rent	■80,000	10%	■8,000	■72,000
Commission	■50,000	2%	■1,000	■49,000
Goods purchase example	■70,00,000 less ■50,00,000 threshold	0.1%	■2,000	Subject to actual invoice/payment computation

3. Excel formulas

TDS Amount: =Base_Amount*TDS_Rate (store the rate as a percentage, e.g. 1%).
Net Payment: =Base_Amount-TDS_Amount.
Summary: =SUM(TDS_Amount_Range).
Threshold test (simple one-off illustration): =IF(Amount>Threshold,Amount*Rate,0). This simple formula is not sufficient for provisions with annual aggregate limits or special timing rules; maintain a vendor-wise cumulative ledger.

4. Critical review notes before using the workbook

• The workbook is a learning sheet, not a complete TDS master for every transaction type.
• Some thresholds depend on aggregate amounts, payer category, payee category, financial year and timing. Do not apply a single threshold formula blindly.
• TDS base may require checking GST separately shown on invoice, reimbursements, credit notes, advances, payment/credit timing and other facts.
• PAN, residency, lower/nil deduction certificates, treaty provisions and higher-rate rules may change the result.
• Salary TDS is not a flat percentage; calculate estimated annual tax under the applicable tax regime and adjust through the year.
• The salary rows in the workbook show annual tax as “under of 0%”. This is not a valid tax computation. Replace it with a tax calculation based on the employee's regime, taxable salary, declarations, other income, rebate and applicable rules.
• The purchase-of-goods example assumes the buyer and seller meet the statutory conditions and uses the amount above the threshold; verify turnover and other conditions.

5. TDS compliance workflow

Step	Practical action
1	Collect PAN, payee status, residency and vendor master details.
2	Identify the true nature of payment and applicable provision.
3	Check single-payment and annual aggregate thresholds.
4	Verify rate, timing of deduction, taxable base and exceptions.
5	Deduct TDS at the legally required time.
6	Deposit TDS by the applicable due date and retain challan details.
7	Prepare and file the correct quarterly statement.
8	Reconcile statement, challan, PAN and payee details.
9	Issue the applicable TDS certificate.
10	Handle corrections, defaults and interest/fee where applicable.

6. Records and common forms — verify current-year equivalents

Traditional form references commonly encountered in training include Form 24Q (salary), Form 26Q (resident non-salary payments), Form 27Q (certain non-resident payments), Form 16 (salary certificate) and Form 16A (non-salary certificate). Because the Income-tax Act, 2025 applies from 1 April 2026, check the current Income-tax Rules, forms, portal utilities and transition guidance for Tax Year 2026–27 before filing. Do not assume old section numbers or forms automatically remain the filing references.

7. Final assessment checklist

Task	Status
TDS rate and threshold master	Workbook contains a starter list; validate each item
Contractor calculation	Entered example arithmetic correct
Professional fee calculation	Entered example arithmetic correct

Task	Status
Rent calculation	Entered example arithmetic correct
Commission calculation	Entered example arithmetic correct
Goods purchase calculation	Arithmetic correct under stated assumptions
Salary TDS	Needs proper annual tax computation
Challan and return tracker	Not present in uploaded workbook; create separately for actual tracking
Vendor-wise cumulative threshold register	Recommended addition

Legal / accuracy note

TDS provisions are highly fact-dependent. This is an educational workbook review, not a complete legal rate chart or filing instruction. The Income-tax Act, 2025 and associated rules apply from 1 April 2026; the old section references in the workbook are included only to help recognize familiar legacy terminology. For Tax Year 2026–27, map each transaction to the correct current provision, table item, rate, threshold, timing and form using official Income Tax Department guidance or a qualified tax professional. Rates and thresholds can vary by payer/payee status, residency, PAN, certificates, transaction details and amendments.